

## BOARD MEETING OF THE CBA

MINUTES  
(17.03.2020)

### On the Refinancing Rate

**The CBA Board Meeting of March 17, 2020 attended by Governor Arthur Javadyan, Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Hasmik Ghahramanyan, Arthur Stepanyan, and Martin Galstyan**

The Board meeting opened with reporting the situation as of March 17, 2020. It addressed the developments on inflation, external environment and real, fiscal and monetary sectors of the economy in the context of assessing the impact and consequence of the coronavirus rapidly spreading worldwide.

There was 0.2% deflation registered in February 2020, **with the 12-month inflation decreased to 0.5% at the end of the month**. The month's inflation was mainly driven by a change in prices of item "Food and non-alcoholic beverage", with egg and meat product prices having fallen notably, by 18.3% and 1.1%, respectively (combined contribution to inflation: -0.37 pp). In February, the prices of items "Clothes and footwear", "Transport" and "Leisure and culture" decreased by 1.5%, 0.8% and 0.5%, respectively. **The 12-month core inflation rate** remained almost unchanged, making up **0.8%** as of end-February.

The main focus of the Board meeting was on the impact the coronavirus pandemic leaves on macroeconomic environment and financial markets both globally and domestically, and assessing the measures taken to fight the disease and eliminate its repercussions on financial markets in the world and Armenia.

The judgment of the current situation in the Armenian economy is that the spread of coronavirus in Armenia and around the world and the anti-epidemic measures against it will sharply reduce Armenia's economic activity in 2020. The negative effects will be seen primarily in the second quarter, which will be reflected in both supply and demand factors. As things currently stand with epidemic, restrictions applied by the Armenian Government will lead to reduced output in manufacturing and especially in services, coupled with lesser consumption, imports, private investments and sluggish external demand, mainly because of similar restrictions applied worldwide. To neutralize the above-mentioned negative consequences of the new coronavirus on the Armenian economy, the Government plans to implement a stimulative fiscal policy, through spending an additional AMD 150.0 billion. The spending plans and directions are being developed, so what course they are set to follow will determine the extent to which domestic demand will be bolstered and inflation influenced.

The impact of the coronavirus pandemic on global economic developments and expectations came through decreased commodity prices, disrupted global production chains, tourism and transport services,

and deteriorated performance of financial markets. In response to the growing global demand for liquidity, central banks of the world's leading countries have taken various measures to inject liquidity.

Initially, the impact of coronavirus pandemic on Armenia's financial market was most pronounced in the foreign exchange market when the local currency, the dram, began depreciating amid certain expectations. Considering the temporary nature of the demand for foreign exchange liquidity, the Central Bank provided banks with a required amount of funds, using the foreign currency swap instrument. At the same time, the Central Bank continued injecting, through its main instrument, the needed dram liquidity into the system by letting short-term interest rates stabilize around the policy rate. However, in the current uncertainty, a rise in interest rates of mid-term notes and long-term bonds is noticeable.

After discussing the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. Historically, when facing such shocks, developing countries have largely pursued more contractionary monetary policy, as inflation expectations were not sufficiently anchored and the dollarization was high. However, developing countries have recently begun to better manage inflation and move to a floating exchange rate policy, which allows a large number of countries to ease monetary conditions in response to economic shocks. In the case of Armenia too, in the light of a low-inflation policy pursued in recent years, inflation expectations are assessed as quite anchored. On the other hand, anticipated slowdown in economic activity slackens both supply and demand, which is why the impact on inflation is quite uncertain, mostly assessed as neutral. Therefore, given the low inflation, expected deflationary effects in the global economy, and current uncertainty, the ***Board considers it appropriate to add to the monetary stimulus by cutting the refinancing rate by 0.25 pp.*** As a result, according to the main scenario, inflation will remain relatively low in the coming months, gradually approaching the target in the near future. Given also that the monetary policy toolkit is not equipped to influence healthcare-related developments, the Board highlights the importance of conducting a possibly more transparent and predictable monetary policy aimed at maintaining price stability.

The Board looked to current inflation risks; they are generally high and tend to either direction depending on the length of the epidemic situation and the pace of anti-epidemic measures. The Central Bank monitors the economy and financial markets on a daily basis, considers alternative scenarios, and is ready to react to any situational developments and risks, while ensuring price stability in the Republic of Armenia.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

## **The Central Bank of the Republic of Armenia**

### **Board Decision**

#### **Interest Rates of Instruments of Monetary Policy of the Central Bank of the Republic of Armenia**

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Cut the refinancing rate of the Central Bank of the Republic of Armenia by 0.25 pp to 5.25%.
2. To the Financial Markets Department of the Central Bank to perform the Central Bank transactions in the financial market by the following interest rates:
  - 2.1. Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 6.75%.
  - 2.2. Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 3.75%.
3. This decision takes effect through a procedure required by law.

**Arthur Javadyan,**  
**Governor of the Central Bank**

**March 17, 2020**

c. Yerevan

**PRESS RELEASE**  
**17.03.2020**

At the March 17 2020 meeting, the CBA Board decided to cut the refinancing rate by 0.25 pp to 5.25%.

There was 0.2% deflation in February 2020 as opposed to 0.6% inflation recorded in the same month last year, with a 12-month deflation rate having amounted to 0.5%.

Continued spread of the coronavirus worldwide is having a significant negative impact on the global economy and economic growth in partner countries. Uncertainties in the world financial markets have increased substantially, driving stock exchange indices of the developed countries to continued falling, commodity prices to decline, exchange rates to depreciate in developing countries, the impact of which on the Armenian economy is estimated to be deflationary.

According to the CBA estimates, these effects are also demonstrated through simultaneously contracting aggregate supply and demand in the behavior of the Armenian economy. The main impact is incurred by the services sector, especially the sub-sectors related to tourism and entertainment. According to the main scenario of the CBA, economic growth will notably slow in the short run, but will not affect Armenia's long-term economic potential outlook.

Looking to the developments in the economy, the CBA Board estimates that the role of monetary policy in the current situation is limited, as the toolkit of monetary policy is not set to be able to influence the real economic uncertainty growth and the development of certain sectors of the economy due to health problems. In this circumstance, carrying on to maintain macroeconomic stability of the country is important, which would allow to secure the effectiveness of target measures for economic policy the Government is developing. The CBA Board finds that thanks to low-inflationary policy pursued in recent years the inflation expectations are now sufficiently anchored. Therefore, given the CBA's price stability objective and in view of current inflationary developments, how the global economy will impact in the near future and how uncertainties unfold, the Board believes that the refinancing rate needs a 0.25 pp cut. As a result, according to the baseline scenario, inflation will remain relatively low in the upcoming months, gradually approaching the target value.

At the same time, the CBA monitors the economy and financial markets on a daily basis, addresses various alternative scenarios and is ready to react to any developments in the situation, while ensuring price stability in the Republic of Armenia.

***Press Service of the Central Bank of Armenia***